

HB 1771 -- INCOME TAX CREDIT DENIALS

SPONSOR: Amato

COMMITTEE ACTION: Voted "Do Pass" by the Standing Committee on Ways and Means by a vote of 8 to 0. Voted "Do Pass" by the Standing Committee on Rules-Administrative by a vote of 9 to 0.

This bill provides that, if a taxpayer owes income tax only because a tax credit was denied, no penalties or interest apply if the balance is paid or a payment plan is set up within 60 days of the notice. If the taxpayer fails to follow the payment plan, all penalties and interest apply.

The bill also provides a definition for "tax credit limit denial".

This bill only applies to income tax due on or after the effective date.

This bill is similar to HB 828 (2025).

PROPOSERS: Supporters say that this bill is a fair and common sense bill. It allows people to make charitable donations without being penalized when the cap on the tax credit is hit. Supporters also say it is a useful fix for the Department of Revenue.

Testifying in person for the bill were Representative Amato; Kanbe's Markets; Associated Industries of Missouri; and Missouri Food Bank Association.

OPPOSERS: There was no opposition voiced to the committee.

Written testimony has been submitted for this bill. The full written testimony and witnesses testifying online can be found under Testimony on the bill page on the House website.